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**mish Mehta,
rating agency
CRISIL's new
MD & CEO, has
worked across
sectors. He has**

had stints with mobile tower company Indus Towers, lubricant maker BP/Castrol India, global consultant EY India, and oil and gas major ExxonMobil India. A chartered accountant by training, Mehta joined CRISIL, an S&P Global company, in October 2014 as President and Chief Financial Officer, before being elevated to President and Chief Operating Officer. Last October, he walked into the corner office at CRISIL's Mumbai headquarters. In an exclusive interview with *Business Today's Sourav Majumdar and Anand Adhikari*, Mehta discusses his mandate, the road ahead for the country's largest rating agency and the current state of affairs of the economy. Edited excerpts:

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Q: You have been the MD and CEO of CRISIL for seven months. Tell us about your mandate and the focus areas.

A: It is a huge responsibility. CRISIL, as an institution, is making markets function better by the way it touches various organisations, stakeholders, and the work that it undertakes. There is a huge responsibility to ensure that we are able to make that impact. We are able to do things that our stakeholders value, whether it's our customers across institutions, buy-side and sell-side firms, investors, government regulators, large global conglomerates, [and] the spectrum of corporates and institutions we deal with. It's our ability to connect the dots and put the intelligence out, whether it's data, research, ratings and benchmark.

Q: How does a company like yours, which is in the business of forecasting, deal with the fast-changing operating environment?

A: It's a good dilemma, to be very honest. In fact, when the pandemic hit us, we were looking at doing fore-

casts virtually every month. I'm talking about macro forecasts. The scenarios were changing depending on the level of the lockdown. Imagine a national lockdown where everything was shut.... There is no way you can predict what is going to happen. There was no vaccine at that point in time. We have also improved our thought process in terms of how we forecast, but I would say it is a dynamic environment. The cycles are pretty short. In terms of projection, everybody puts out a forecast based on assumptions, saying that these are the base assumptions that we work on. An example is our current forecast for GDP [growth in FY23] at 7.8 per cent. We said it's based on crude oil prices of \$85-90 a barrel. Current crude oil prices are around \$100 a barrel. We are hoping that the current crisis will end in a shorter time frame. But if it gets prolonged and crude prices remain above \$100, the 7.8 per cent forecast has a downward bias.

Q: Do you believe inflation is the single most significant unknown at this point in your forecast?

A: That's clearly one of the biggest factors, which is uncertain at this point in time. Our forecast for CPI [consumer price index-based inflation in FY23] is 5.4 per cent. It is largely a given that [prices of] commodities like crude oil will remain high. We see that continuing for some time with the current geopolitical crisis and lockdowns in China. We need to monitor what happens

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to capacities on the metal side and on some of the agri-commodities [side], especially edible oils, wheat and maize, which are coming from the Russia-Ukraine belt. I think we will see some impact on account of that on commodities and energy, which has a bearing on India, because we are a large importer of crude oil. Our crude basket is higher than what we had forecast. I think that